

ZOETIS INC ZTS

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by

mike126

2026 2027

Price:	82.83	EPS	6.96	7.44
Shares Out. (in M):	419	P/E	11.9	11.1
Market Cap (in \$M):	34,725	P/FCF	13.3	12.6
Net Debt (in \$M):	7,296	EBIT	3,892	4,106
TEV (in \$M):	42,021	TEV/EBIT	10.8	10.2

Description

I am long the shares of **Zoetis (ZTS)**. Zoetis is a pharma company specializing in prescription medicines for animals. It is not the best business in the world and 2026/2027 estimates have some further room to go down, but I believe the equity is worth significantly more than the current 13x LTM P/E multiple implies.

Zoetis was spun-off from Pfizer in 2013. Pre-COVID, it was a steady 'compounder' GARP investment and was seen as a textbook example of a highly successful pharma spin-off. The animal health (AH) industry (and especially the pet / companion animal part of it) was considered a superior corner of the pharma market because of perceived lower incidence of generics / perceived lower competitiveness, and the trend of 'humanization of pets' i.e. pet-owners being increasingly willing to spend more & more money caring for their pets' health and treating them as full members of family. Even pre-COVID, in a sea of revenue-generating pharma companies that generally traded for 10x-20x P/E in public markets, Zoetis's rich valuation (>30x P/E) always stood out. But then COVID gave Zoetis and the entire AH industry a further massive boost due to a spike in pet-ownership. In 2020-2021, Zoetis's stock doubled and P/E peaked around 50x.



In recent years, Zoetis fell on harder times, with the share price down to levels last seen in 2018/19 and P/E contracted to 13x LTM. Key peer Elanco (ELAN)

and the next largest listed pure-AH company Virbac are both doing better than ZTS recently, and ZTS's multiple is now the lowest in the sector.

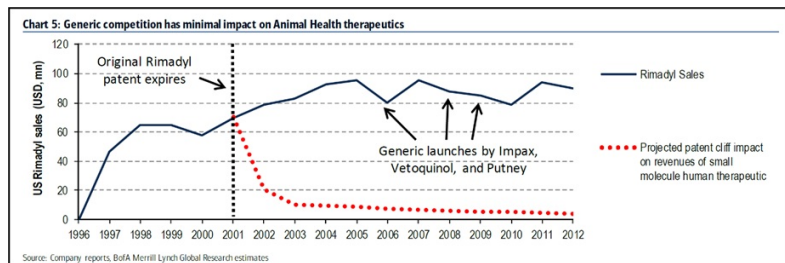


This drop is mostly due to issues in Zoetis's US companion animal (CA) segment. The US CA segment is Zoetis's largest and accounts for 44% of total revenue and likely 50-60% of total EBIT. Revenue growth in US CA decelerated from 25% in FY21 and 15% in FY24 to 0% in 2H'25 and -11% in 1Q'26.

US\$m	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026E
Total revenue								
US CA revenue	1,984	2,391	2,990	3,341	3,529	4,054	4,220	4,179
% yoy		21%	25%	12%	6%	15%	4%	(1%)
US FA revenue	1,219	1,166	1,052	972	1,026	1,020	877	873
% yoy		(4%)	(10%)	(8%)	6%	(1%)	(14%)	(0%)
International CA revenue	1,161	1,261	1,699	1,862	2,047	2,224	2,367	2,505
% yoy		9%	35%	10%	10%	9%	6%	6%
International FA revenue	1,811	1,774	1,953	1,819	1,864	1,878	1,887	1,984
% yoy		9%	35%	10%	2%	1%	0%	5%
Contract manufacturing revenue / other	85	83	82	86	78	80	116	119
% yoy		9%	35%	10%	(9%)	3%	45%	2%
Total revenue	6,260	6,675	7,726	8,080	8,544	9,256	9,467	9,659
% yoy		7%	16%	4%	6%	8%	2%	2%

The main problem Zoetis has always had is that its US CA segment was overly concentrated in a few blockbuster drugs. These drugs are in dermatology, parasiticides and osteoarthritis (OA), and all 3 are facing some problems. Dermatology and parasiticides are being hit by increased competitive pressures from new product introductions by competitors (mainly Elanco) while osteoarthritis has negative publicity after a safety backlash around Zoetis's OA mAB drug *Librela* having an elevated rate of AEs in dogs post-injection. In dermatology, Zoetis's drug *Apoquel* has long been considered the best atopic dermatitis drug on the market but Elanco's new drug *Zenrelia* launched in the US in late 2024 and is considered better and more convenient than *Apoquel* because *Zenrelia* offers once-a-day vs 2x-a-day dosing. It likely impacted *Apoquel* sales and will take further share from Zoetis. And in parasiticides, ZTS's *Simparica* franchise has long been considered a market leader; it too faces headwinds. In 2024, Elanco launched a differentiated parasiticide that protects against tapeworms, which is in addition to the existing market standard of protecting against heartworm disease, ticks, fleas, hookworms, roundworms and

hookworms. Elanco's product is cleverly marketed as *Credelio Quattro* to highlight the additional coverage against Zoetis's *Simparica Trio*. To top it all off, *Apoquel's* EU patents expired in 2024 and US patent expires in 2030 (i.e. soon-ish); but on the bright side, many of ZTS's other products have been off-patent for years and the patent cliff drop-off has been manageable - this is the key attraction of the AH pharma industry. E.g. see below a historical example of *Rimadyl*, an old CA anti-inflammatory / pain drug.



In practice, the AH market is too small in \$ terms (<\$50B for AH vs >\$1T for human pharma) for most generic drugmakers to bother with, especially when considering the investment required for the vet go-to-market motion.

Blockbuster CA drugs revenue, US\$m	FY2024	FY2025	Zoetis market share (estimated)
Dermatology franchise (Apoquel, Cytopoint, Apoquel Chewable)	1,640	1,743	70%, dominant share
% yoy	16%	6%	
US	1,089	1,135	
% yoy	16%	4%	
International	551	608	
% yoy	16%	10%	
Parasitocides (Simparica franchise)	1,356	1,504	20%, intense competition against Elanco and Boehringer-Ingelheim
% yoy	25%	11%	
US	999	1,095	
% yoy	357	405	
International	357	409	
% yoy		15%	
Osteoarthritis (OA) pain - Librela	447	423	25%, but mABS treatments are still small compared to NSAIDs. ZTS dominates the mABS segment
% yoy	93%	(5%)	
US	201	169	
% yoy	328%	(16%)	
International	246	254	
% yoy	33%	3%	
Osteoarthritis (OA) pain - other (Solensia, etc)	134	145	
% yoy	51%	8%	
US	70	69	
% yoy	59%	(1%)	
International	64	76	
% yoy	42%	19%	
US	2,359	2,468	
Dermatology franchise (Apoquel, Cytopoint, Apoquel Chewable)	1,089	1,135	
Parasitocides (Simparica franchise)	999	1,095	
Osteoarthritis (OA) pain - Librela	201	169	
Osteoarthritis (OA) pain - other (Solensia, etc)	70	69	
International	1,218	1,347	
Dermatology franchise (Apoquel, Cytopoint, Apoquel Chewable)	551	608	
Parasitocides (Simparica franchise)	357	409	
Osteoarthritis (OA) pain - Librela	246	254	
Osteoarthritis (OA) pain - other (Solensia, etc)	64	76	

I think Zoetis's current travails in the stock market create a unique entry point. It is going through a classic "pipeline gap", i.e. ZTS has no exciting new introductions in '24-26 while competitors have several. But ZTS has still continued to outspend competitors (including Elanco) on R&D for many years and does have new products slated for launch in the coming years. Details on many of them are sparse, likely for competitive reasons.

ROBUST PIPELINE ACROSS TIME HORIZONS

Robust pipeline with expected major market approvals every year for the next several years

Expected blockbusters¹

Year to Date 2025	Expected 2026	Expected 2028 – 2029	Expected ² 2030+
Long-Acting OA mAb (Portela)	Next-Gen Chemistry Dx ³	Derm mAb	Renal mAb Therapy*
Long-Acting OA mAb (Lenivla)	Next-Acting Cytopoint	Convenia® New Formulation	Obesity Therapeutic
HPAI Vaccines*	HVT-ND	Oral Vaccines	Anxiety Therapeutic
		Oncology mAb 1*	Long-Acting Parasiticide
		Oncology mAb 2*	Cardiology Solution*
		DNA Vaccine 1	Bacterial Vaccines
			Parasite Vaccines
			mHyo Microdose Vaccine
			Derm Therapeutic*
			DNA Vaccine 2

Notes:
Expected approvals in the U.S., EU or other top 10 international market based on 2024 annual revenue (Australia, Brazil, Canada, China, Mexico, Japan, and U.K.).
Content reflects projected approvals based on internal estimates. Actual results may vary due to regulatory review processes and approval requirements, or other internal and external factors, including for programs with longer-term horizons. New product innovation has a higher inherent uncertainty when compared to geographic expansion and lifecycle innovation. Products are not ordered by value or any other criteria within each date range.

Expected 2027

Renal mAb Therapy*

Simparica DUO

HVT-ND-ILT Vaccine

PCV2a-b mHyo Needle

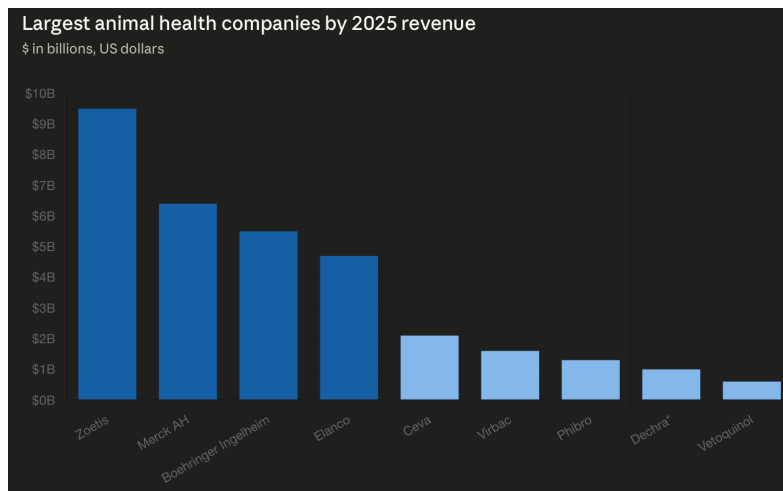
Free Vaccine

¹ Products with expected future potential sales of \$100M+, not necessarily to be achieved within disclosed time horizon
² Completion of final validation expected in 2026
³ Non-exhaustive

*Conditional licenses or approvals

zoetis

Note that there are many smaller indications where Zoetis is not active or is subscale e.g. ear infections, heart medicines, kidney disease, anxiety / behavioural medicines, anaesthesia, endocrine illnesses, and so on. Overall, Zoetis is still the largest animal health pharma player globally and outspends on R&D.



From a valuation perspective, ZTS shares are trading around \$82.43 currently and sellside expects \$6.96 of FY26 EPS, i.e. stock is 12x estimated earnings. This suggests to me that the market has profound skepticism about Zoetis's growth prospects. For my downside case, I cut Zoetis's revenue by \$2B from current levels. This is equivalent to assuming that either US CA revenue drops 50%, total CA revenue drops 30%, or total revenue drops 20%. That seems quite draconian to me (famous last words!). I assume 31% EBIT drop and this pencils out to a downside EPS of \$4.11, i.e. stock is trading 20x that downside level. This gives you a sense of what the market is pricing in. Of course, there's always some chance things won't be that bad. And at the same time, the core forces that drove global spending on pets to grow robustly should not reverse. There are always some concerns about affordability - many pet owners are familiar with the experience of going to the (most likely PE-owned) vet practice for some seemingly small / routine procedure and being hit with a massive bill (combo of exam fee, diagnostic fee, medicines fee plus big markup, etc). I am a pet owner myself, and I think ZTS is clearly not the main culprit to blame for that affordability crisis (I think more of the blame lies with the overall inflation, qualified vet shortages, and vet roll-ups). In categories where Zoetis was the monopolist, Zoetis has broadly followed the established practice of increasing prices 5-8% and maximizing profits, but in competitive segments like parasiticides, Zoetis's pricing has been relatively reasonable. In any case, ZTS's valuation is embedding a profoundly negative view on Zoetis's future profits, and it makes sense for me to fade that. It is not comfortable / pleasant owning something where there won't be any good exciting news associated with it for a while, but I guess that is what value investing is often about.

AI risk

AlphaFold / AI suggests life sciences and medical care long-term will face significant disruption. There was some excitement recently about the Australian tech founder who used AI to fast-track the design of a tailored treatment to lengthen the lifespan of his dog, see link [here](#). This is an excellent development for the world but for the healthcare industry it does raise questions for ZTS. It is reasonable to assume that drug discovery will be much faster and cheaper in the future, but testing / trials and approvals will still be the big gating factors, along with the go-to-market. E.g. for Zoetis, a key part of its power are the thousands of sales reps visiting/calling vet clinics. I do think that on balance, pharma is a worse industry long-term than it was before, but at ZTS's valuation, I have good near-term compensation for that long-term risk.

A note on FA and diagnostics

1) In this write-up, I barely mention the FA segment. It is historically the oldest segment of the industry and nowadays it is a low-growth (1-3%) market. For Zoetis, the segment is mainly just treated as a cash-cow to absorb Zoetis's fixed costs. The segment historically faced backlash / headwinds from concerns about antibiotics in food supply and for ZTS this culminated with the sale of its MFA (medicated feed additive) franchise to Phibro a few years ago. The FA market is not the critical growth-driver for ZTS and market likely prices it low e.g. Phibro (ticker PAHC) usually trades around 11x-13x P/E.

2) Similarly, I did not address ZTS's diagnostic division (c. \$500M revenue segment, c.5% of total revenue). This division stems from ZTS's 2018 acquisition of Abaxis, and Zoetis had grand plans to grow it into a strong competitor to Idexx (IDXX). This business is growing, but it did not outgrow the rest of Zoetis, and disclosure about it is sparse. My sense is that the acquisition was not a disaster but it was not a smashing success, either. It is not a major driver for the investment thesis.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Quarterly earnings

Passage of time

Messages

Subject	Quick question on competition
Entry	08/08/2026 03:48 PM
Member	OliviaUVA0818

I haven't looked at zoetis in detail, however, it seems like the main issue is around competition. If they outspend their competitors yet no new products are coming to market and we are unsure of future launches does that mean they are not getting adequate returns in their R&D spend? Also what gets them to start growing again until they bring new products to the market. Thanks

Subject	Re: Quick question on competition
Entry	08/10/2026 03:23 AM
Member	mike126

OliviaUVA0818,

thank you for the question. I think the R&D spend efficacy is poor & lagging. Until they launch new products or reformulations, top-line will not grow.

Zoetis's CFO is leaving and is being replaced by an exec from GEHC who will hold dual CFO & COO responsibilities, and his background includes roles during operational transformations. This signals to me that the company is hunkering down for multiple no-growth years and will cut costs further and/or divest stuff. The new CFO has a good opportunity to kitchen-sink his outlook. On one hand, that combination of things is not something that I love to see. On the other hand, the existing management team here has its credibility at rock bottom (folks who met / spoke to them came away uninspired), so some sort of reset and change is welcome.

I gather ZTS is nowadays somewhat of a consensus short in HC land, so a bit more pain is likely. But, I continue to own it and long-term, I still like the risk-reward.